Islamic coalition bolsters Saudi security ties

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summary

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The defense pact between Saudi Arabia, Turkey, and Pakistan formalizes security cooperation amid shared concerns over Iran and Israel and declining trust in US reliability.
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Ian Bremmer said that a potential new deal with Iran might last a little longer, but Tehran still sees opportunity for more leverage and will likely return to conflict.
*
Iran's financial proceeds from a deal would fall far short of its maximalist demands.
*
Benjamin Netanyahu's July meeting with President Donald Trump delivered little of what the Israelis sought, reinforcing the Israeli prime minister's vulnerabilities ahead of the October vote.
*
Regions, countries, and sectors covered in this edition include the US, Brazil, Egypt, Iran, Indonesia, Israel, the Middle East and North Africa, Pakistan, Saudi Arabia, and geoeconomics.

the top line

Saudi Arabia, Turkey, Pakistan, Egypt—Deepening 'Islamic Coalition' bolsters Saudi security as trust in US weakens

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Saudi Arabia, Turkey, and Pakistan—members of what EG has dubbed an emerging "Islamic Coalition"—signed the Mecca Joint Defense Agreement, formalizing security cooperation and defense industry ties in response to shared concerns over Iran and Israel, as well as the declining perceived reliability of the US.
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Any new Saudi financial support for Turkey and Pakistan will probably remain limited to selected defense deals and spending as Riyadh prioritizes domestic spending needs.
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The Mecca pact may strengthen Saudi deterrence against a direct Iranian attack, but Turkey and Pakistan are unlikely to join a war on Iran, and absent concrete intervention pledges, the pact is unlikely to discourage proxy attacks.
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EG sources indicate the mutual defense commitments in the pact do not apply to a potential India-Pakistan conflict.
*
Fiscal pressure may compel Egypt to join the pact eventually, but Cairo is keen to stay out of regional conflicts.
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Read more here . Reach out to discuss: mena@eurasiagroup.net .

eg update—Ian Bremmer on a new deal with Iran

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After the latest climbdown from President Trump, more efforts to put a deal together, which looks a lot like the last deal, except this time with more explicit recognition of joint Iranian/Omani control over the Strait of Hormuz, without tolls but with "voluntary fees" for management of the waterway.
*
Trump's problem…is that what he considers an unacceptable outcome has also become unavoidable. There isn't a mechanism to reopen the strait by force…and that doesn't go away with this agreement: the Iranians still see opportunity for more leverage, to get assets unfrozen, have sanctions removed, achieve a fund for reconstruction/war reparations...all the while continuing the push for tolls, and throwing maximalist demands out to spike the ball.
*
This deal would be nearly as shaky/unstable as the previous memorandum of understanding. It might last a little longer, but ultimately the Iranians have too many reasons to believe they should keep squeezing, use more leverage, and return to conflict.
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Read more on Ian’s recommendations for processing information in our G-Zero world and the Russia-Ukraine war here .

Geoeconomics, MENA Crisis—Iran’s deal proceeds would fall well short of its maximalist demands

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Iran's best-case first-year payout from any US deal tops out at $30 billion-$40 billion and would require a revival of the June memorandum of understanding and monetary concessions that remain difficult to secure.
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Tehran could secure up to $20 billion of frozen assets, $8 billion a year from a US oil-sales license, and $5-10 billion a year from Strait of Hormuz fees, but Washington could revoke the license quickly, and the 60-day congressional review window could end up stopping the frozen funds if fighting resumes.
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Even in Tehran's best case, the proceeds from a deal would ease fiscal pressure but would not fully address the public’s deep economic grievances, so political control will still rest on force.
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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Israel, US, MENA Crisis—Netanyahu's Trump meeting deepens his electoral vulnerabilities

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Netanyahu's White House meeting on 28 July delivered little of what he sought, reinforcing public perceptions that he is not handling security and US ties well, while his coalition remains well short of a Knesset majority in polling ahead of the October elections.

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Trump is leaning away from the escalatory paths Netanyahu favors on Iran and Lebanon, making US support for a renewed war with Iran or expanded strikes against Hezbollah unlikely in the near term.

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Gaza roadmap implementation will likely stall over Israel-Hamas sequencing disputes, while Trump's linkage of the Saudi nuclear deal to normalization gives Netanyahu leverage but not a guaranteed win on the issue.

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The fragile US-Israel-Lebanon framework remains at risk before the October elections as Netanyahu will resist withdrawing Israeli forces from southern Lebanon.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Indonesia—New central bank governor will offer loose continuity

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President Prabowo Subianto's nomination of technocratic senior central banker Destry Damayanti as the new governor of Bank Indonesia will help reassure financial markets. Prabowo's decision to name only Destry as a candidate suggests he is somewhat sensitive to the need to quickly reassure financial markets, amid concerns about threats to central bank independence following the resignation of the highly respected prior governor, Perry Warjiyo.

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Rupiah stability will remain a priority, but policy emphasis could shift. Higher rates will still be on the table if the rupiah comes under renewed pressure, but there could be more emphasis under Destry on other tools, such as foreign exchange intervention, and measures to attract foreign inflows and increase rupiah demand.

*

Destry will probably be more sympathetic to Prabowo's desire to boost liquidity and she could also come under more pressure to support the president's flagship policies, including the fledgling rural cooperatives initiative.

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Read more here. Reach out to discuss: southeastasia@eurasiagroup.net .

Indonesia—Chart of the Day: Rupiah recovers amid easing concerns around central bank independence

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Over the last week, Indonesia's currency recovered around half the underperformance against other Asian currencies seen since early April. The backdrop of a weaker US dollar has helped, following softer employment data and increased debate around the US Treasury secretary's effort to influence markets. The rupiah has also gained from the nomination of a credible central bank candidate (see prior story),

easing concerns about political influence over economic institutions and policymaking.
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Because the Singapore dollar is closely managed against a basket of regional and global currencies, it serves as a gauge of broader Asian FX performance. Periods when these currencies diverge can reveal shifts in the political risk priced into Indonesian markets.
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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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13 August 10:00 AM ET—Analyzing global oil & gas markets. Register here .

eg in depth

Brazil—VAT to launch on schedule despite election-year pressure: The 2027 transition will impose the reform's first meaningful demands on Brazilian businesses, as federal PIS/Cofins taxes will be fully replaced by the Contribution on Goods and Services. The implementation calendar will hold barring an opposition victory in October's presidential election, which could trigger a constitutional amendment to suspend the rollout. The government will set the excise tax at a rate equivalent to the tax on Industrialized Goods for 2027, deferring the more disruptive calibration of the tax to the next administration. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Brazil—Senate to block Lula's agenda until after the election. The administration's main legislative priorities are expected to remain stalled until after the October election. The workweek reduction bill, the critical minerals framework, and the Individual Microentrepreneur revenue threshold each carry a 60% probability of passage, contingent on President Luiz Inacio Lula da Silva’s reelection. The AI bill faces steeper odds and will likely slip into a potential fourth Lula term, with only 30% odds of approval in the near term. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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10 August: Data: Colombia CPI.
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11 August: Events: Hungarian parliament votes on nomination of Andres Baka as president; US primary elections are held in Connecticut, Minnesota, South Carolina, Vermont and Wisconsin; Data: Brazil CPI; Central bank decision: Australia and Kenya.
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12 August: Data: US, India, and Russia CPI.
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13 August: Events: Zambia holds presidential and parliamentary elections; UK Clacton parliamentary by-election is held following Reform Leader Nigel Farage’s decision to quit as an MP and recontest the seat; Data: Argentina CPI, US and Japan PPI, UK GDP, Eurozone industrial production; Central bank decision: Peru and Norway.
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14 August: Data: Eurozone GDP and unemployment; US retail sales, business inventories, University of Michigan consumer sentiment, France, Poland, and Israel CPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Astral Betteridge.

closing quip

Iran’s tougher stance is based on the military posture the US has taken in the region in recent days, its co-operation with Israel, and Israel’s readiness to assist in an attack on Iran.”—Iranian official Hamid-Reza Taraghi said, according to a Financial Times report on 9 August.

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